TOGETHER, WE RISE

2025-26 Superintendent's Proposed Budget

Engaging Our Community, Prioritizing Our Students

Presented to the Portland Public Schools Budget Committee
April 22, 2025

Agenda

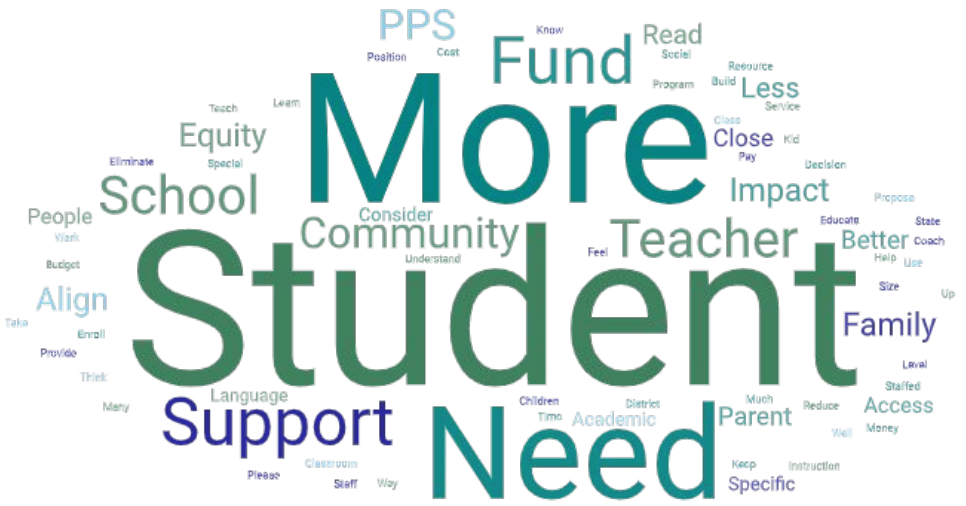
- Share **Planning Process & Considerations**
- Share **Proposed Budget Overview**
- **Discussion**

Planning Process & Considerations

Action Plan for 2025-26 Budget Development

- ➔ Build on **PPS strengths**
- ➔ Develop a **shared vision**
- ➔ **Achieve vision** together
- ➔ **Organize and advocate** for education funding





Communicate Early & Often

Promote Flexibility & Stability

Center Student Outcomes

Foster Fiscal Sustainability

Budget Process

BUDGET BUILDING
April - June
Propose Budget
CBRC Report
Approve Budget
Public Comment & Hearing
TSCC Certify Budget
Adopt Budget

FISCAL NEW YEAR
July - September
Implement & Monitor Budget
Close & Audit Prior Year



BUDGET PLANNING
January - March
Budget Worksessions
Conduct Budget Outreach
Finalize Priorities
Implement Workforce Plan

BUDGET AWARENESS
October - December
Adopt Budget Calendar
Forecast Enrollment & Finances
Conduct Needs Assessment
Engage with Communities

Roles in Budget Development

Superintendent
Define vision and priorities;
set and staff organizational structure;
propose budget

Cabinet Leaders
Inform and enable vision and priorities; lead coordinated initiatives

Cross-Functional Teams
Coordinate process and produce deliverables

Principals
Inform priorities; implement staffing and budget



Board of Education
Set direction; serve as Budget Committee;
approve levies and appropriations;
receive public comment

Community Budget Review Committee
Review budget and local option levy;
make recommendations to the Board

Tax Supervising and Conservation Commission
Certify approved budget and tax levies

Students, PPS Teams, Community Members, Partners
Inform priorities, elevate insights and impacts

Data-Engaged Planning

To understand **PPS strengths, weaknesses, and focus areas,** we created a **needs assessment** that utilized state and local data sources, including:

- Community engagement findings
- Enrollment trends and student demographic shifts
- Student achievement data (state assessments, iReady, MAP, and other local benchmarks)
- Program participation rates and workforce alignment data
- Budget analysis and expenditure reports
- Equity impact assessments
- The Successful Schools Survey measuring schools climate and culture

2025-26 PPS Priorities

Investments are based on identified needs and center inclusive and joyful learning experiences for students to access the resources and supports they need to demonstrate excellence.

- Early Literacy Achievement
- K-12 Academic Success
- Attendance and Engagement
- Graduation and Postsecondary Readiness
- Safe and Supportive Schools
- Culture of Racial Equity & Care

Proposed Budget Overview

Financial Pressures Contributing to Our Shortfall







Rising Costs

Inflation has resulted in higher costs of goods and services.

We have invested in our employees' compensation and teacher planning time. PERS costs are also rising.

Our student needs continue.

Limited Revenue

Our state dollars continue to fall short of the costs to operate our schools.

We have less special revenue, including the end of federal pandemic aid.

Declining Enrollment

We have fewer students and the same number of buildings.

Our funding is dependent upon number of students.

Since 2020, PPS's student enrollment has declined 10.8%, faster than Oregon's (6.5%), and is projected to continue to decline.

Estimating the Gap

$130 Million GAP Forecasted for the Next Three Years

	2023-24	2024-25	2025-26
Gap Targets*	$10 million *+$10 million*	$41 million *+$31 million*	$79 million *+$38 million*
Possible Impacts	Cost savings activities in the current year could include: - Re-strategizing Special Revenue spend - Underspend sweeps - Central Office hiring freeze and spending restrictions	Ongoing reductions from prior years can help meet target Budget development for 2024-25 will begin in January and the Board and CBRC will have public discussions to inform reductions	Ongoing reductions from prior years can help meet target Additional State School Fund revenue in the new biennium may change the gap amount

Published: January 16, 2024

*Preliminary estimates

FORWARD TOGETHER

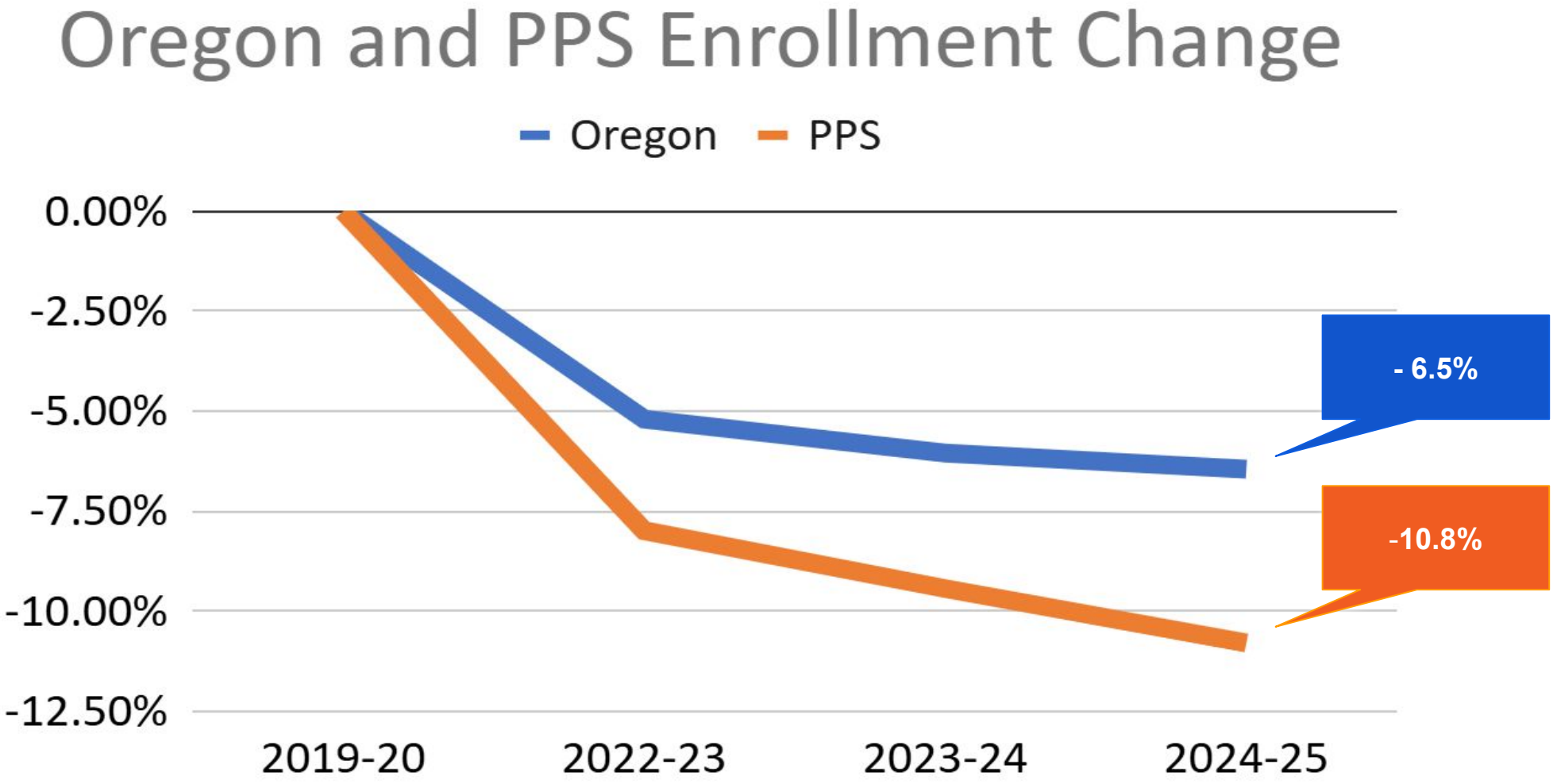
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PORTLAND PUBLIC SCHOOLS

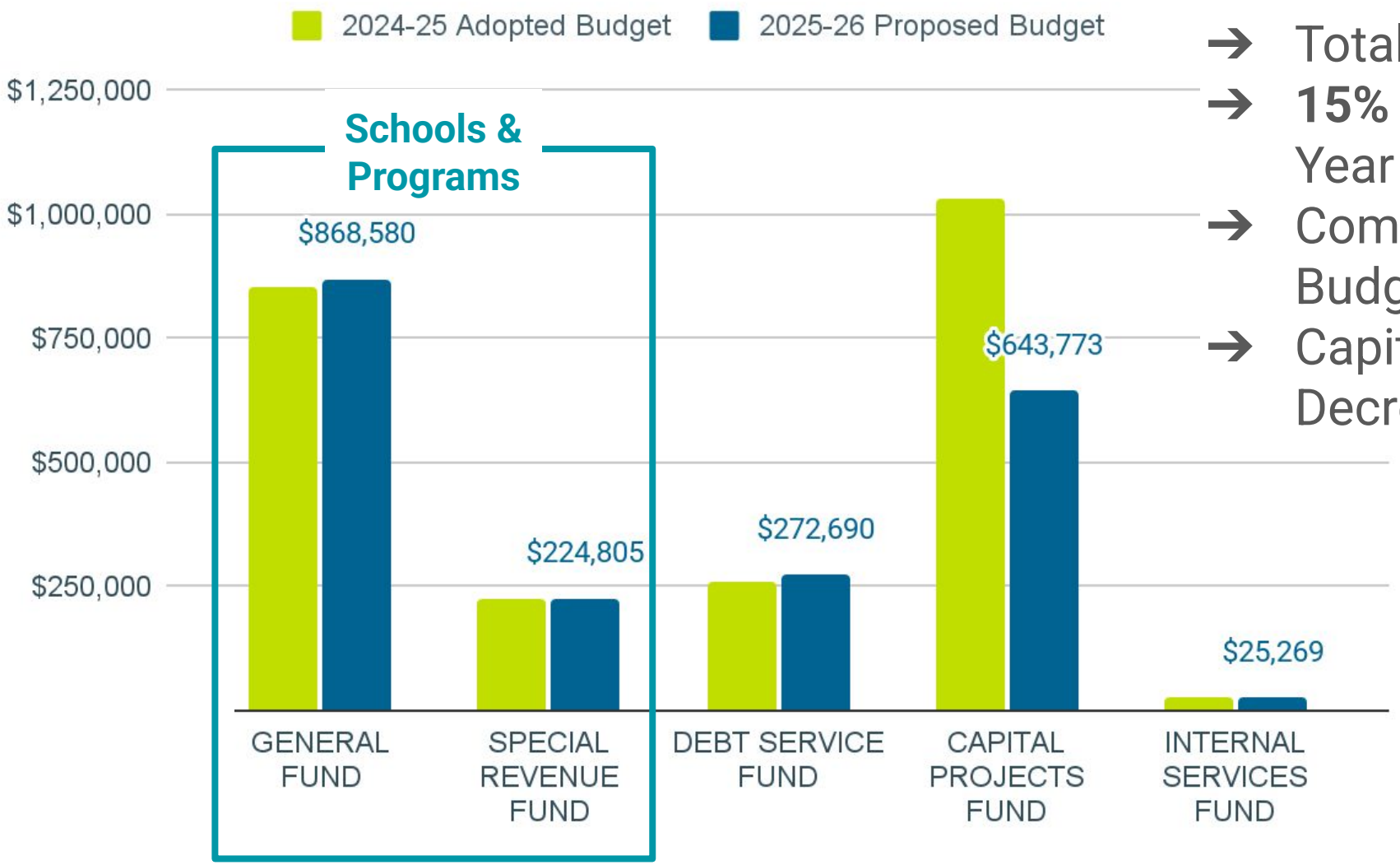
Enrollment Forecast

- ➔ Enrollment continues to decline
  - The largest decline is at the elementary level
  - We are currently experiencing an enrollment decline that will continue next school year
- ➔ We continue to serve large numbers of historically underserved students

Enrollment Trends

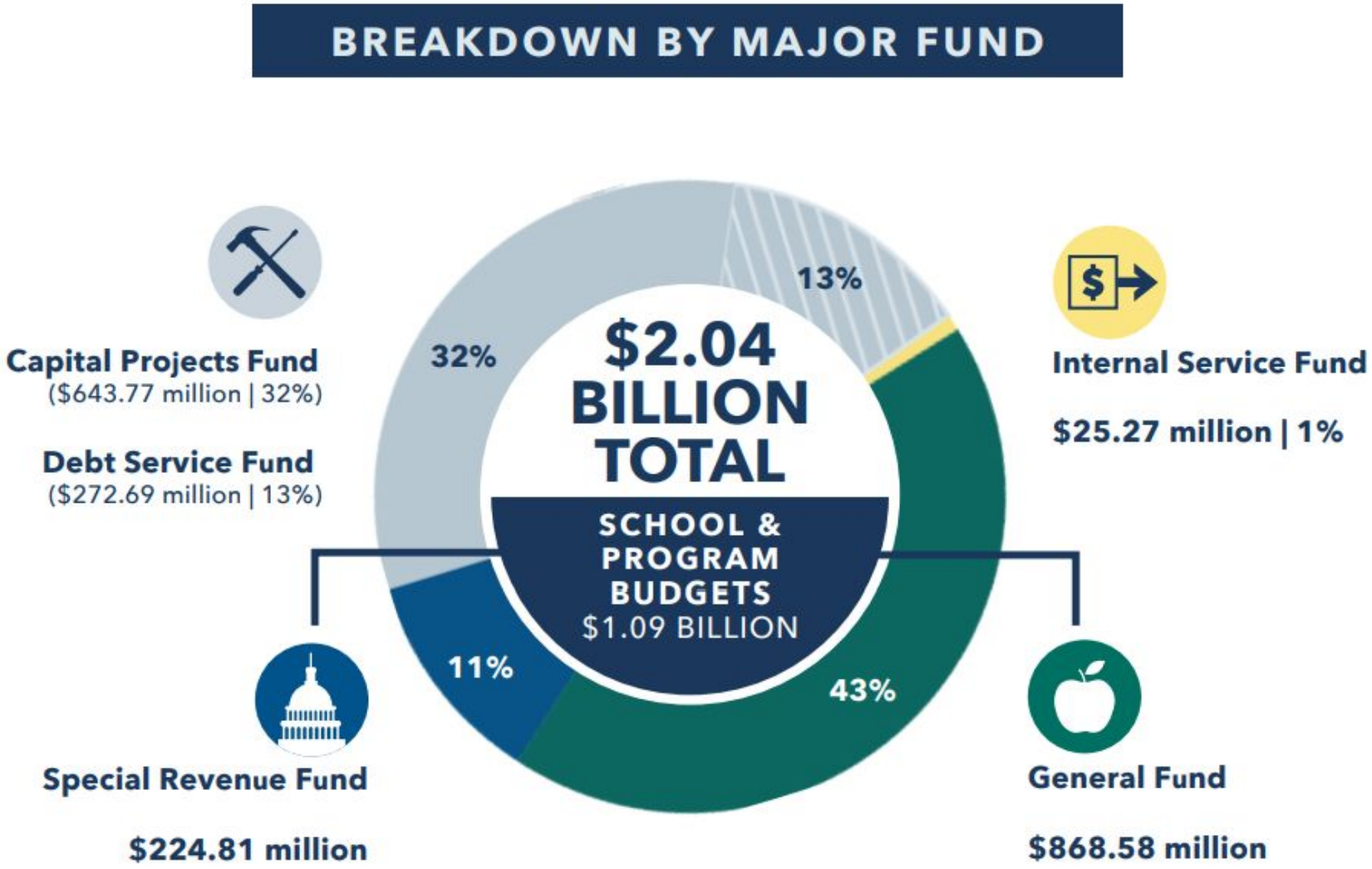


2025-26 Proposed Budget - All Funds (In Thousands)



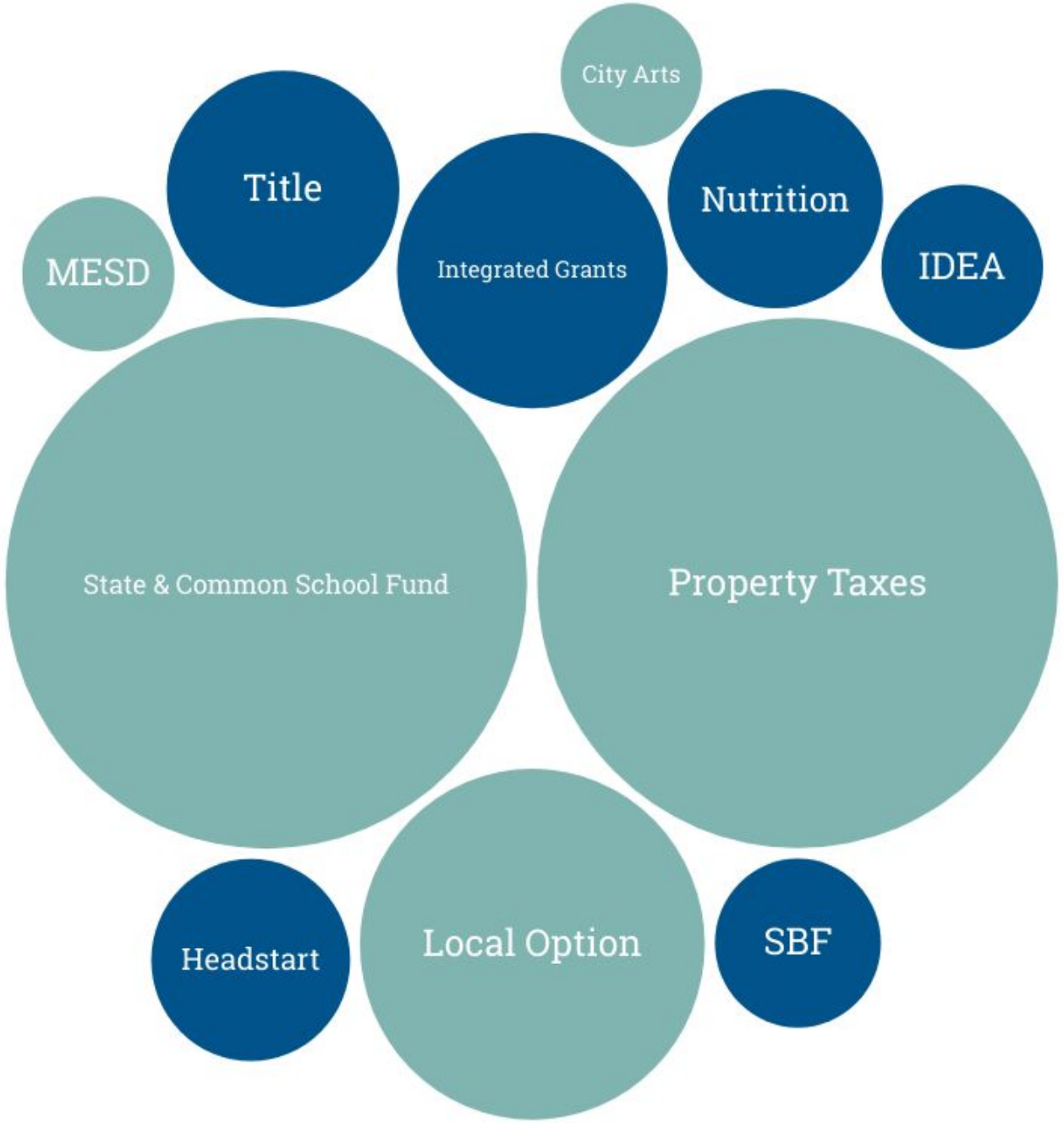
- Total All Funds **$2.04 Billion**
- **15% Decrease** from the Current Year Budget
- Combined School and Program Budgets Increasing 1%
- Capital Projects Funds Decreasing 38%

2025-26 Proposed Budget - All Funds



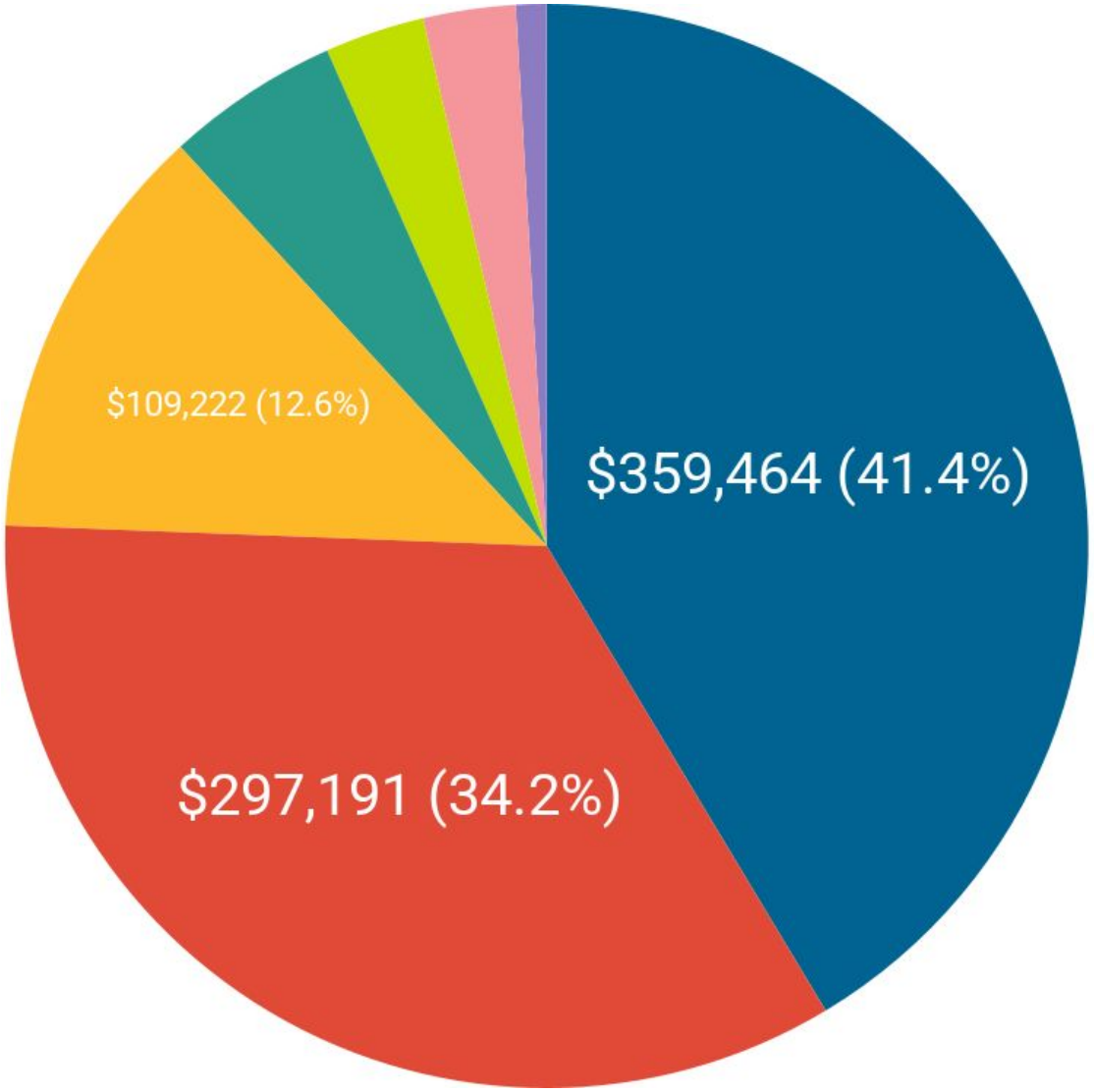
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General F und and Special Revenue Fund Revenue Sources



This is an illustration, it is not an exhaustive representation of our district's revenue sources.

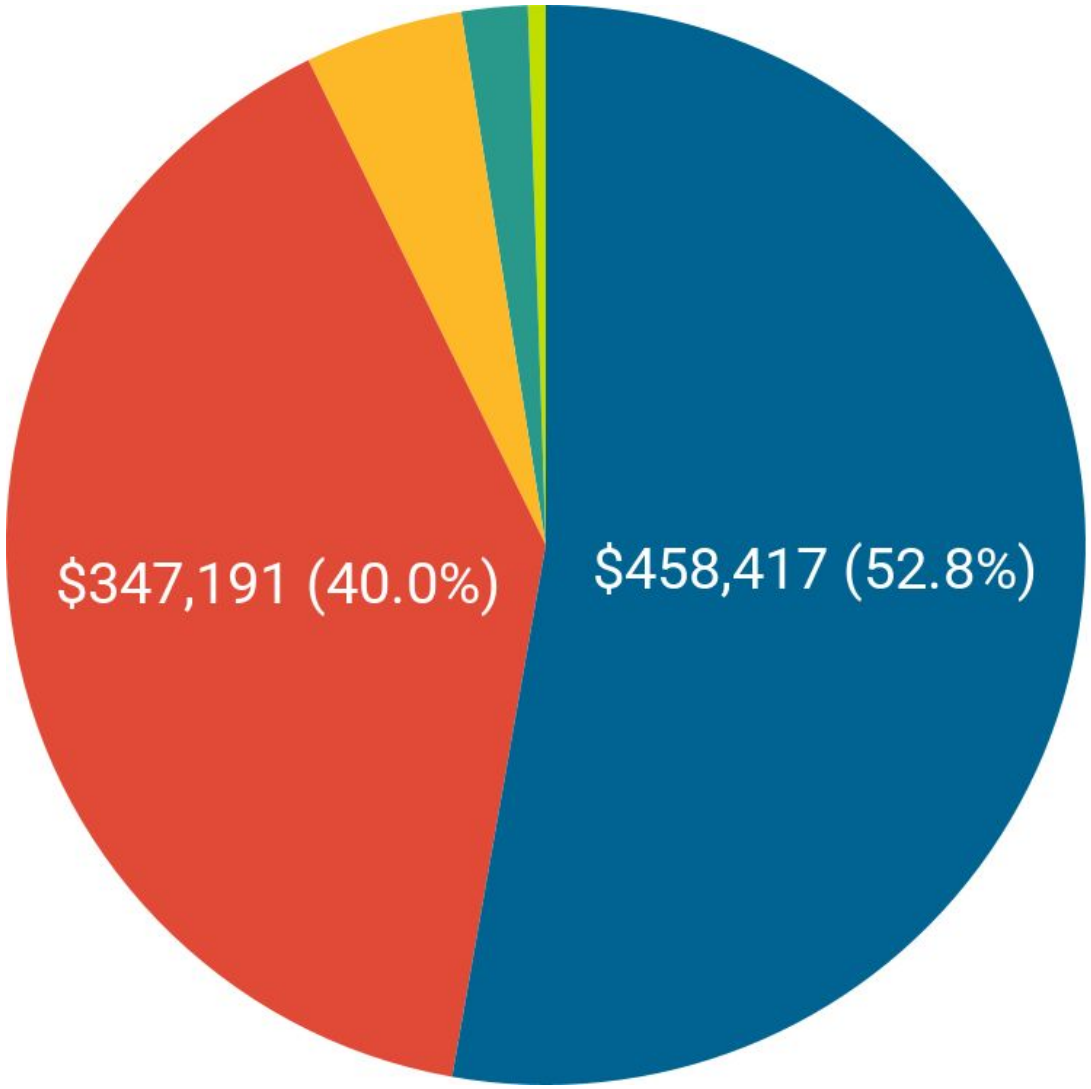
2025-26 Proposed Budget - General Fund (In Thousands)



- PROPERTY TAXES
- STATE SOURCES
- LOCAL OPTION
- BEGINNING FUND BALANCE
- LOCAL SOURCES
- INTERFUND TRANSFERS
- INTERMEDIATE SOURCES
- OTHER BUDGET RESOURCES
- FEDERAL SOURCES

➔ Total Resources
$868.6 Million

2025-26 Proposed Budget - General Fund (In Thousands)



- INSTRUCTION
- SUPPORT SERVICES
- CONTINGENCIES
- TRANSFERS OF FUNDS
- ENTERPRISE AND COMMUNITY SERVICES

➔ Total Requirements
$868.6 Million

2025-26 Proposed Budget - 2025 Bond

The budget assumes passage of the 2025 bond on the May 20, 2025 ballot. The $1.83 billion bond renews the existing tax rate and would be used to:

- ➔ Update and repair schools
- ➔ Improve safety and security
- ➔ Modernize high schools Jefferson, Ida B. Wells, and Cleveland
- ➔ Improve technology and educational materials
- ➔ Update athletics and performing arts facilities

Cash flow needed in 2025-26 for 2025 bond projects is included in the proposed budget.

Bridging the Gap: Contingencies & Risks

Given the significant budget gap we are facing, it may be necessary to:

- ➔ Maintain a minimal General Fund reserve
- ➔ Draw from the PERS Stabilization Fund (Fund 225)
- ➔ Implement spending restrictions
- ➔ Restrict Central Office hiring

To shield schools from the impacts of reductions as much as possible, we are willing to take these risks.

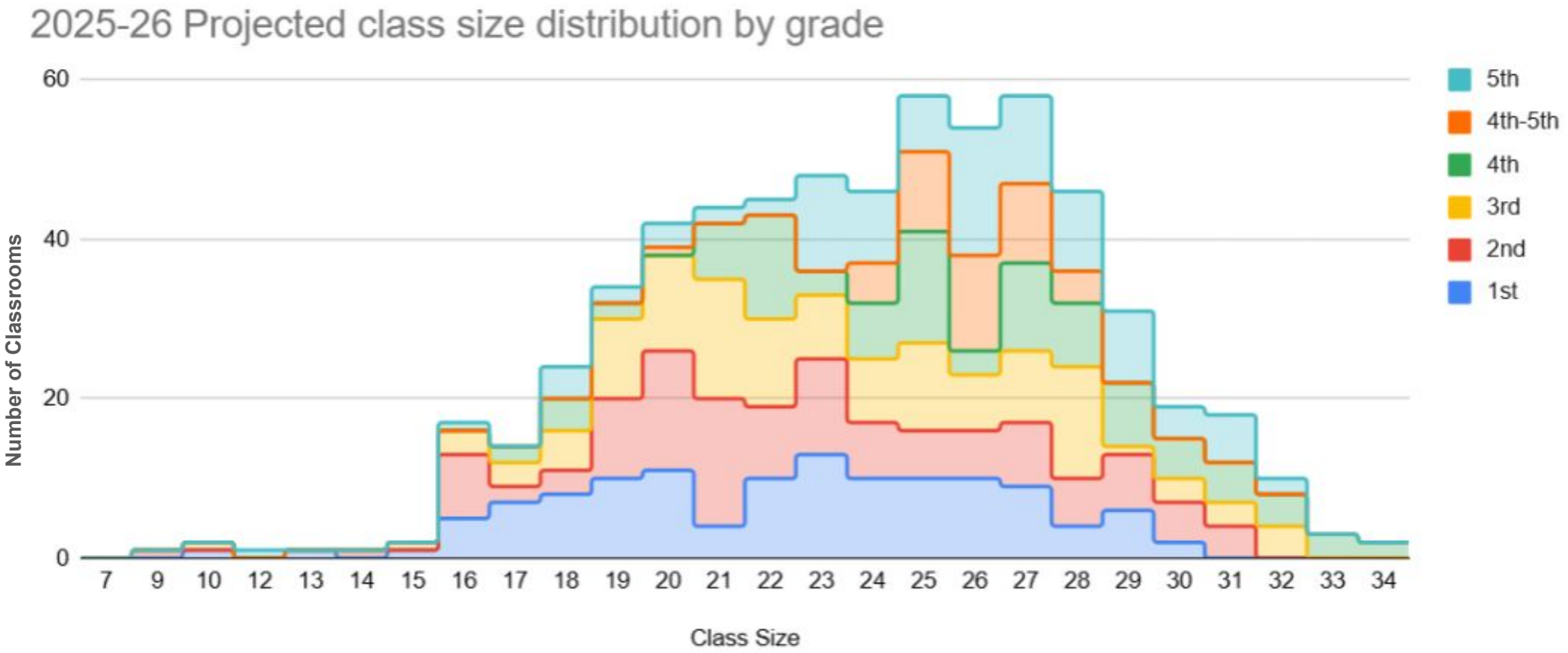
The budget is a *plan*, if our situation changes, this plan would also change.

2025-26 School Staffing

Promoting
School Flexibility, Stability, and System-Wide Sustainability

- ➔ School staffing changes have been applied at all school levels.
- ➔ Upper elementary blends and middle and high school minimum class sizes have been implemented.
- ➔ Strategic school supports are maintained, although in some cases at a decreased level.
- ➔ Flexibility was added to allow principals to accommodate needs in their schools.

2025-26 Projected Elementary Class Sizes



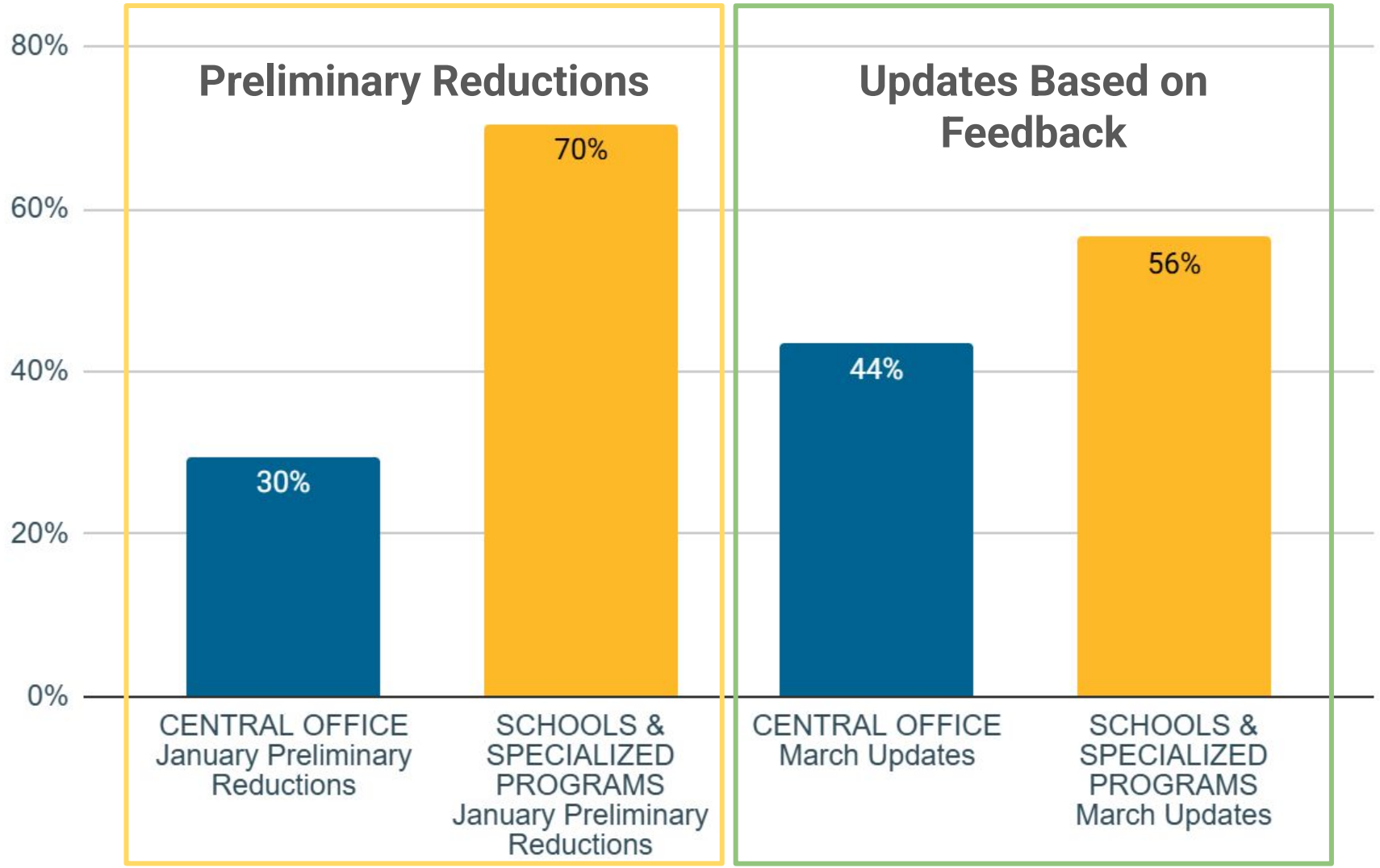
2025-26 Central Office

Prioritization, Streamlining, and System-Wide Sustainability

- ➔ Central Office personnel and non-personnel budgets will be reduced.
- ➔ Personnel reductions impact multiple employee groups and functions.
- ➔ Leadership Restructure
  - ◆ The Central Office organizational structure has been streamlined. We anticipate improved efficiency and cost savings.
- ➔ Non-personnel reductions are focused in:
  - ◆ Contracted services
  - ◆ Professional development
  - ◆ Travel

2025-26 Proposed Reductions As of March 2025

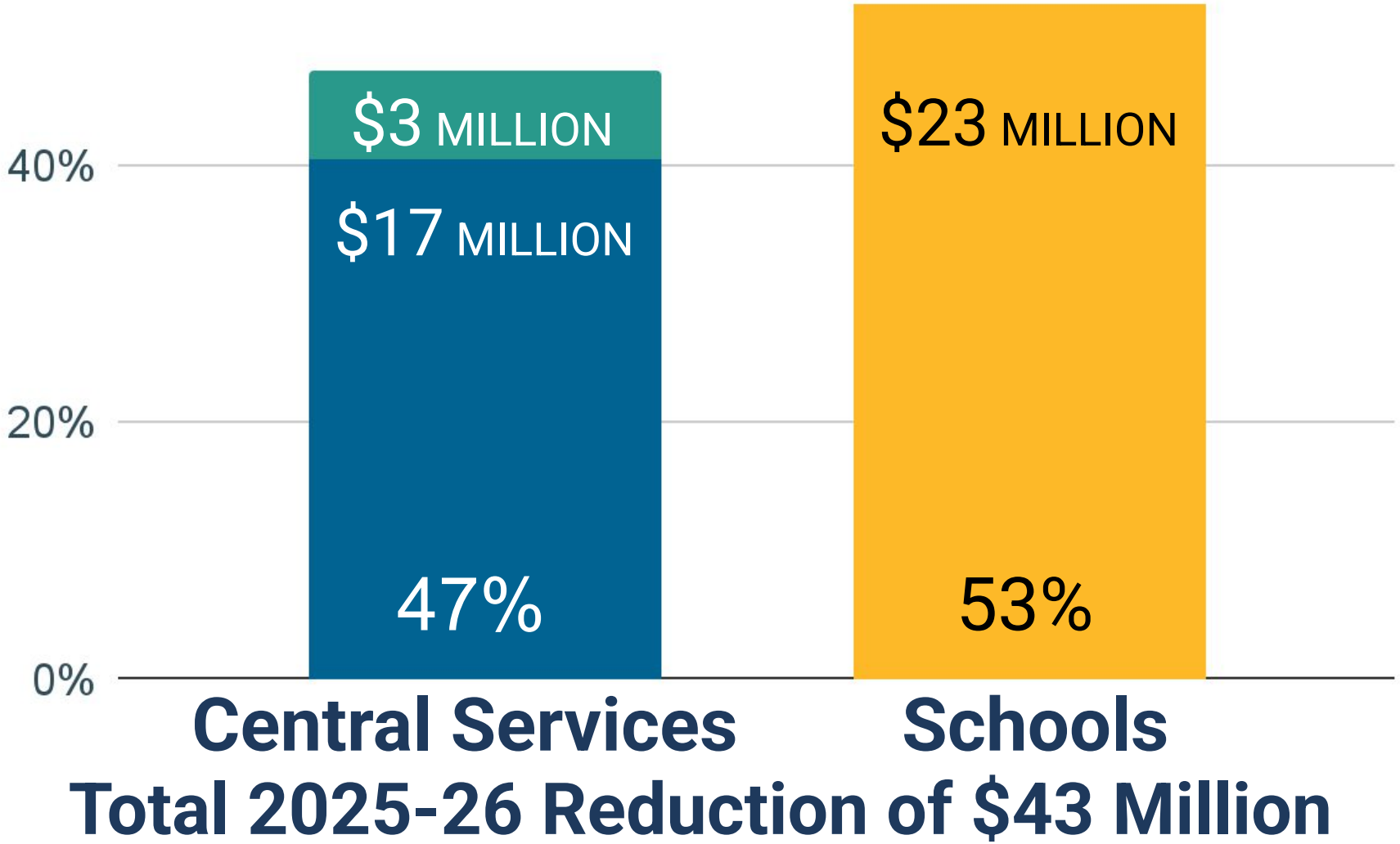
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TOTAL ESTIMATED REDUCTION $40 MILLION

DRAFT: Estimates are preliminary.

Planning for the Future

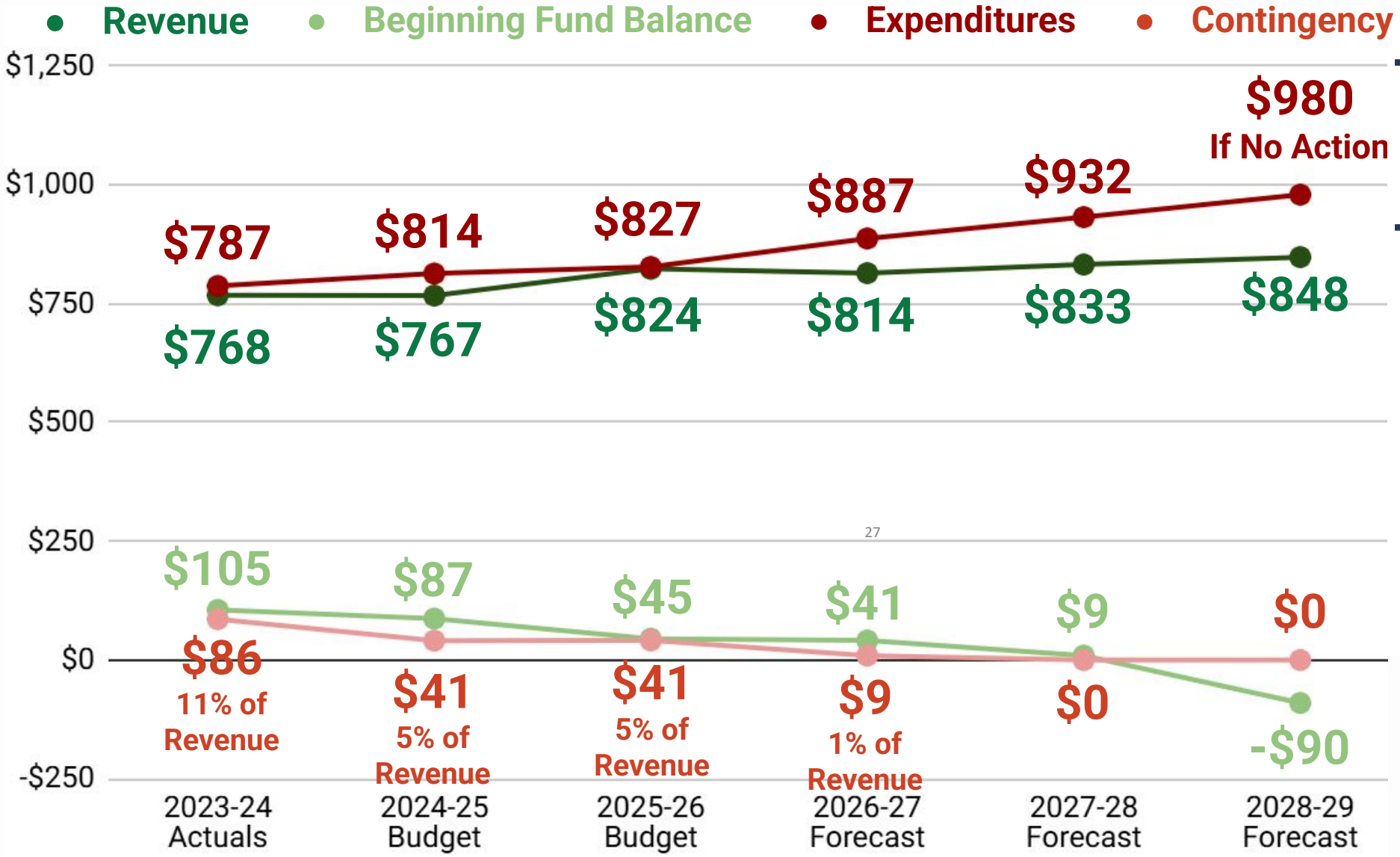


Total 2025-26 Reduction of $43 Million

- ➔ $3 Million in Additional Central Office Reductions to Lessen Impact in 2026-27
- ➔ 2026-27 Reductions Estimated at $32 Million

DRAFT: Estimates are preliminary.

2025-26 Projected General Fund (In Millions)



- Expenses are increasing while revenue declines.
- If no action Is taken, reserves are depleted and the budget deficit will compound every year.

DRAFT: Estimates are preliminary.

2025-26 Federal Program Changes

Reduced Programs & Uncertainty

- ➔ Uncertainty in federal program changes informed our planning process.
- ➔ Title programs have been reduced 25% due to uncertainty in funding streams.
- ➔ Although some federal programs have been expanded, increased costs limit growth in service levels.
- ➔ In some cases, sunsetting programs caused reductions.

Board Adoption Timeline: Spring 2025

Date	Milestone
March 4, 2025	Board Budget Work Session with Community Budget Review Committee
March 18, 2025	Board Budget Work Session
April 22, 2025	Board Meeting: Superintendent Delivers the 2025-26 Proposed Budget
April 29, 2025	School Board Public Comment Session on the 2025-26 Proposed Budget
May 6, 2025	Community Budget Review Committee Presents Reports to School Board
May 19, 2025	Board Meeting: School Board as a Budget Committee Approves the 2025-26 Proposed Budget
June 10, 2025	TSCC Hearing: Tax Supervising and Conservation Commission Certifies the 2025-26 Approved Budget
June 10, 2025	Board Meeting: School Board Adopts the Approved 2025-26 Budget

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Oregon Legislative Updates - Key Dates

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Date	Milestone
December 2024	Governor's Recommended Budget Released
January 21, 2025	2025 Legislative Session Convenes
February 25, 2025	Measure Introduction Deadline
February 26, 2025	February Revenue Forecast
Mid-March 2025	Ways and Means Co-Chairs Budget Released
May 14, 2025	May Revenue Forecast
June 28, 2025	2025 Legislative Session Adjourns

State Advocacy

State Advocacy Toolkit

Get involved and help Oregon students achieve their highest potential!

- ➔ Legislative Engagement
- ➔ External Engagement
- ➔ Templates and Scripts

Questions & Discussion

Appendix

2025-26 School Staffing

- ➔ School staffing changes have been applied at all school levels
  - ◆ We **intentionally did not raise class size** across the board
    - Some bumps in FTE were removed based on school status
  - ◆ We have **retained strategic school supports**, although in some cases at a decreased level (for example, all schools will have at least a 0.5 FTE School-Based Instructional Coach to support teachers)
    - **Flexibility was added** to allow principals to accommodate needs in their schools with some allocations
  - ◆ Enrollment decline contributes to about 9% of school-based FTE reductions
- ➔ **Pre-Kindergarten** programming is continuing at the same level
- ➔ **Equity formula** is not changing

DRAFT: Estimates are preliminary and may change during the budget process.

2025-26 School Staffing

- **Elementary School and K8 School**
  - Grade levels will be blended in upper elementary with school-based flexibility to blend specific levels between grades 3-5 based on school-specific needs
  - Kindergarten Educational Assistants are prioritized for Title I schools
  - Schools will retain support from a 1.0 School-Based Instructional Coach
    - With flexibility for 0.5 Academic Interventionist
  - International Baccalaureate (IB) supports are no longer allocated due to a lack of IB pathways to upper grades
- **Middle School**
  - A minimum class size of 15 students has been established
  - Dual Language Immersion supplemental resources are aligned to enrollment-based need
  - Title I supplemental resources are reduced from a base of 2.0 to 1.0
  - Schools will retain support from a School-Based Instructional Coach and receive discretional FTE with a choice of Instructional Coach, Restorative Justice Coordinator, School Climate Specialist, or Social Worker

2025-26 School Staffing

- **High School**
  - A minimum class size of 15 students has been established
  - Reduction of Career Coordinator funded by General Fund
    - Schools have **flexibility** to select a Career or College Coordinator funded by General Fund
    - High schools continue to receive a College Coordinator allocation funded by High School Success (M98)
    - School leaders have additional discretionary funding and may have invested in additional Career or College Coordinators depending on need
- **Multilingual Learners**
  - Itinerant staff **will continue** to provide support to schools with fewer students needing services
  - Weighting has changed so **all schools** receive FTE based on student need (Newcomer/PISA students get the highest weight)
- **Special Education**
  - Special Education staffing is enrollment-based; *no significant changes are planned for next year*

Reserves: A Household Example

	Year 1 2024-25	Year 2 2025-26	Year 3 2026-27
Savings - Start of Year	**$10,000 (10%)**	**$7,000 (7%)**	**$5,000 (5%)**
Annual Income (+)	**$100,000**	**$100,000**	**$100,000**
Annual Expenses (-)	**$103,000**	**$102,000**	**$100,000**
Savings - End of Year	**$7,000**	**$5,000**	**$5,000**

Public Comment

Share Public Comment with the Board of Education

publiccomment@pps.net

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